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# RESEARCH PAPER

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# **Islamic Credit Cards and Islamic Charge Cards: A Comparative Study of Shariah Principles, Structures, and Contemporary Practices**

## **Abstract:**

Imagine a customer standing at a supermarket checkout. The customer wants the convenience of paying by card but also wants to ensure that the card does not facilitate transactions prohibited by Islamic Shariah. This simple situation illustrates one of the important challenges facing the modern era: how can financial institutions provide modern payment facilities while remaining compliant with Islamic principles?

As technology develops and electronic payments become increasingly common, Islamic financial institutions have introduced Islamic credit cards and Islamic charge cards as alternatives to conventional payment cards. These products aim to provide customers with convenient payment facilities while avoiding prohibited elements such as Riba (interest), excessive Gharar (uncertainty), and other impermissible financial practices. However, the use of different contractual structures and the existence of different scholarly opinions have created continuing questions regarding their Shariah compliance.

This research examines the concepts, development, operational structures, Shariah principles, and contemporary practices of Islamic credit cards and Islamic charge cards. It compares these products with conventional credit and charge cards and examines commonly used Islamic contracts, including Murabaha, Tawarruq, Kafalah, Qard, Qard Hasan, Wakalah, and Ujrah, where applicable. The study also considers relevant AAOIFI Shari'ah Standards and resolutions of recognised Islamic jurisprudence bodies.

The research adopts a qualitative, doctrinal, descriptive, analytical, and comparative approach. A supplementary survey component is included through a LinkedIn poll to explore public awareness and opinions regarding Islamic credit cards. Primary sources include the Qur'an, Sunnah, AAOIFI Shari'ah Standards, and relevant resolutions of the International Islamic Fiqh Academy. Secondary sources include academic books, peer-reviewed journal articles, Islamic bank publications, product documents, annual reports, and regulatory publications.

The study finds that Islamic credit cards and Islamic charge cards can provide Shariah-oriented alternatives to conventional payment cards when their contractual structures, operations, fees, and payment mechanisms are properly designed and implemented. However, issues relating to certain financing structures, late-payment charges, rewards, cash withdrawals, and differences in scholarly opinions continue to require careful examination. The research also highlights the importance of transparency, effective Shariah governance, customer education, and continuous review of Islamic card products.

The study concludes that the question of whether an Islamic card is genuinely Shariah-compliant cannot be answered merely by looking at its name. The underlying contract, actual operation, source of income, treatment of debt, and compliance with relevant Shariah principles must all be examined.

**Keywords:** Islamic Finance, Islamic Banking, Islamic Credit Cards, Islamic Charge Cards, Shariah Compliance, Riba, Gharar, AAOIFI, Ujrah, Tawarruq, Murabaha, Kafalah, Qard hasan.



# Chapter 1: Introduction

## 1.1 Background of the Study:

### From Halal Earning to Islamic Banking: A Journey Through History

Think of a marketplace in the early days of Islam where a merchant is standing in front of his shop. Another person is buying food for his family. Someone else is travelling with a caravan carrying goods to another city. So, money, trade, partnership, debt, buying, selling, and employment are already part of everyday life. "Now imagine that Islam begins to address these activities". The Quran does not tell people to stop doing business; instead, it teaches them how business should be conducted, as we see in the revelation of surahs. The Quran's chapters are divided into Makkah (revealed before the Prophet SAW migrated to Madinah) and Madinah (revealed after migration). Makkah surahs focus on core beliefs and monotheism, while Madinah surahs focus on community laws, social rulings, and governance.

Islamic banking did not suddenly appear in the twentieth century. Its modern institutions are relatively new, but the principles governing Islamic commercial transactions are rooted in the Qur'an, Sunnah, and Islamic jurisprudence developed over many centuries. So, to understand Islamic credit cards and Islamic charge cards today, it is necessary to go back to a much earlier question:

"What does Islam teach about earning money, buying, selling, borrowing, lending and conducting business?"

The answer to this question provides the foundation upon which contemporary Islamic finance has been developed.

#### 11.1.1 Islam and the Transformation of Business and Trade:

Trade was already an important part of Arabian society before Islam. The Qur'anic revelation did not eliminate commerce. Instead, it introduced principles that transformed how commercial activity should be understood and conducted. One of the clearest examples is the Qur'anic distinction between legitimate and Riba. It forms the core rule for money and business in Islam, separating lawful profit from unlawful interest.

As Allah says:

Verse 2:275 - from Surah Al-Baqarah:

الَّذِينَ يَأْكُلُونَ الرِّبَا لَا يَقُومُونَ إِلَّا كَمَا يَقُومُ الَّذِي يَتَخَبَّطُهُ الشَّيْطَانُ مِنَ الْمَسِّ ذَلِكَ بِأَنَّهُمْ قَالُوا إِنَّمَا الْبَيْعُ مِثْلُ  
الرِّبَا وَأَحْلَلَهُ اللَّهُ الْبَيْعَ وَحَرَّمَ الرِّبَا فَمَنْ جَاءَهُ مَوْعِظَةٌ مِنْ رَبِّهِ فَانْتَهَى فَلَهُ مَا سَلَفَ وَأَمْرُهُ إِلَى اللَّهِ وَمَنْ عَادَ  
فَأُولَئِكَ أَصْحَابُ النَّارِ هُمْ فِيهَا خَالِدُونَ

Those who consume interest will stand 'on Judgment Day' like those driven to madness by Satan's touch. That is because they say, "Trade is no different from interest, but Allah has permitted trading and forbidden interest. Whoever refrains—after having received warning from their Lord—may keep their previous gains, and their case is left to Allah. As for those who persist, it is they who will be the residents of the Fire. They will be there forever.

This ayah of **Surah Al-Baqarah** explains that Allah clearly distinguishes between lawful trade (Bay') and Riba (Interest). People who deal in Riba tried to argue that earning profit through trade and charging interest are the same, but Allah rejected this idea: trade is permissible because it involves a real exchange, Ownership, risk, and mutual benefit. At the same time, Riba involves an unjust increase, especially on debt, without a genuine trade or productive exchange. Therefore, Allah has permitted buying and selling but has prohibited Riba. The verse also gives hope to those who stop after receiving Allah's warning: they may keep what they earned in the past, while Allah takes care of their future affairs. However, those who knowingly continue in Riba after understanding its prohibition receive a very serious warning. In conclusion, profit from legitimate business is halal, but making a guaranteed increase from a debt or loan through Riba is haram, and Muslims are commanded to avoid it.

Literally, Riba means increase or growth. In Islamic law, the word usually refers to two key concepts: Riba al fadl or Riba al nasiah.

Imagine two people meeting in a traditional marketplace. One person has 1 kilogram of high-quality dates, while the other has 2 kilograms of dates. They both agree to exchange them -1 kg of dates for 2 kg of dates. At first, this may seem like a simple barter transaction, but in Islamic finance, this can involve **Riba al-Fadl**: an unequal exchange of the same type of Ribawi commodity.

The concept of Riba al-Fadl was particularly important in the context of early markets, where people commonly exchanged goods directly rather than using money. Islam established rules to prevent unfairness, exploitation, and hidden forms of interest in such exchanges. In today's modern economy, where most transactions use money rather than direct barter, Riba al-Fadl is less commonly encountered in its original form. However, its underlying principle remains important when understanding how Islamic law regulates exchanges and prevents unjust gain.

Let's imagine Zayd needs money to cover an important expense, so his friend Bakr agrees to help him. Zayd borrows Rs.1,000 for one year, and they make an agreement that when the year is over, Zayd must return Rs.1,050. The additional Rs.50 is not connected to any trade, investment, or business risk—it is charged because Zayd was given more time to repay the loan. This is an example of Riba al-Nasi'ah, where an increase is required on a debt in return for delaying repayment. In conclusion, the longer the borrower takes to repay, the more they are required to pay, which is why this form of Riba is prohibited in Islamic finance.

يَا أَيُّهَا الَّذِينَ ءَامَنُوا اتَّقُوا اللَّهَ وَذَرُوا مَا بَقِيَ مِنَ الرِّبَا إِن كُنتُمْ مُّؤْمِنِينَ

Surah Al-Baqarah (2:278)

"O believers! Fear Allah, and give up outstanding interest if you are 'true' believers." This ayat of Surah Al-Baqarah (2:278) says O believers, be mindful of Allah and stop taking any remaining interest (Riba) that is owed to you, if you truly believe in Him.

فَإِنْ لَّمْ تَفْعَلُوا فَأْذَنُوا بِحَرْبٍ مِّنَ اللَّهِ وَرَسُولِهِ ۖ وَإِن تُبْتِغُوا فَكُمُ رُءُوسُ أَمْوَالِكُمْ لَا تَظْلِمُونَ وَلَا تُظْلَمُونَ

Surah Al-Baqarah (2:279)

"And if you do not, then be informed of a war [against you] from Allah and His Messenger. But if you repent, you may have your principal - [thus] you do no wrong, nor are you wronged."

This verse warns strongly against continuing to deal in Riba (interest). Allah tells believers that if they do not give up Riba, they should be aware of a serious warning from Allah and His Messenger ﷺ. However, if they sincerely repent and stop dealing in Riba, they are allowed to keep only the original amount (principal) they gave or lent, without any additional interest. This ensures fairness—you do not wrong others by taking extra, and you are not wronged by losing your original money.

Prophet ﷺ says in hadiths about Riba:

Jabir ibn Abdullah narrated the exact hadith, and it is recorded in **Sahih Muslim (Hadith 1598)**:

لَعَنَ رَسُولُ اللَّهِ صَلَّى اللَّهُ عَلَيْهِ وَسَلَّمَ آكِلَ الرِّبَا وَمُوكِلَهُ وَكَاتِبَهُ وَشَاهِدَيْهِ وَقَالَ هُمْ سَوَاءٌ

"Allah's Messenger (ﷺ) cursed the one who consumes Riba (usury or interest), the one who pays it, the one who records it, and the two witnesses to it, and he said: 'They are all the same [in sin].'"

The Prophet Muhammad ﷺ strongly warned against Riba (interest). Jabir ibn Abdullah recorded in Sahih Muslim (Hadith 1598) that the sin does not affect only the person who takes interest. It also includes the person who pays it, records the transaction, or witnesses the agreement. This shows how seriously Islam prohibits Riba and encourages Muslims to stay away from participating in interest-based transactions in any way.

Hadiths from **Musnad Ahmad, Sunan Abu Dawud (3331)**, and other collections are:

«لَيَأْتِيَنَّ عَلَى النَّاسِ زَمَانٌ لَا يَبْقَى مِنْهُمْ أَحَدٌ إِلَّا أَكَلَ الرِّبَا فَمَنْ لَمْ يَأْكُلْ أَصَابَهُ مِنْغَبَارُهُ»

"There will certainly come a time for mankind when no one will remain who does not consume usury (interest/Riba), and if he does not consume it, its dust will reach him."

This hadith explains that there will come a time when almost everyone will be involved in Riba (interest) in some way. Even those who do not directly deal with it may still be affected by its influence or consequences. The saying reminds us to be careful about our financial dealings and to avoid Riba as much as possible.

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